adoption permitted. The Company early adopted this new standard in the first quarter of 2018. The adoption of this standard did not have a material impact on the Company's consolidated financial statements.

In June 2018, the FASB issued ASU 2018-07, Compensation-Stock Compensation (Topic 718): Improvements to Nonemployee Share-Based Payment Accounting. ASU 2018-07 expands the scope of Topic 718 to include share-based payment transactions for acquiring goods and services from nonemployees. ASU 2018-07 became effective for the Company on January 1, 2019. The adoption of this standard did not have a material impact on the Company's consolidated financial statements.

3. Fair Value Measurements

Fair Value Measurement of Financial Assets and Liabilities

The carrying values of the Company's accounts receivable and accounts payable, approximated their fair values due to the short period of time to maturity or repayment.

The following tables set forth the Company's financial instruments that were measured at fair value on a recurring basis by level within the fair value hierarchy (in thousands):

	December 31, 2019			
	Level 1	Level 2	Level 3	Total
Assets:				
Money market funds	$ 107,708	$ —	$ —	$ 107,708
U.S. government agencies	—	77,364	—	77,364
Corporate debt securities	—	207,137	—	207,137
Total	$ 107,708	$ 284,501	$ —	$ 392,209
Liabilities:				
Contingent consideration	$ —	$ —	$ 1,889	$ 1,889
Derivative liabilities	—	748	—	748
Total	$ —	$ 748	$ 1,889	$ 2,637

	December 31, 2018			
	Level 1	Level 2	Level 3	Total
Assets:				
Money market funds	$ 273,546	$ —	$ —	$ 273,546
U.S. government agencies	—	72,840	—	72,840
Corporate debt securities	—	228,953	—	228,953
Derivative assets	—	623	—	623
Total	$ 273,546	$ 302,416	$ —	$ 575,962
Liabilities:				
Derivative liabilities	$ —	$ 549	$ —	$ 549
Stock warrant liability	—	—	410	410
Total	$ —	$ 549	$ 410	$ 959

The fair value of the Company's Level 1 financial instruments is based on quoted market prices in active markets for identical instruments. The fair value of the Company's Level 2 financial instruments is based on observable inputs other than quoted prices in active markets for identical assets and liabilities, quoted prices for identical or similar assets or liabilities in inactive markets, or other inputs that are observable or can be corroborated by observable market data.

In addition, Level 2 assets and liabilities include derivative financial instruments associated with hedging activity, which are further discussed in Note 4. Derivative financial instruments are initially measured at fair value on the contract date and are subsequently remeasured to fair value at each reporting date using inputs such as spot rates, forward rates, and discount rates. There is not an active market for each hedge contract, but the inputs used to calculate the value of the instruments are tied to active markets.